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UNITED STATES BANKRUPTCY COURT
NORTHERN DISTRICT OF WEST VIRGINIA

In re: EXAMPLE DEBTOR, LLC, Debtor. JANE E. SAMPLE, Chapter 7 Trustee for the bankruptcy estate of Example Debtor, LLC, Plaintiff, v. EXAMPLE TRANSFEREE, LLC; and JOHN Q. EXAMPLE, Defendants.	Chapter 7 Case No. 1:26-bk-00000 Judge Hon. Example Judge Adv. Pro. No. 1:26-ap-00000

ADVERSARY COMPLAINT TO AVOID AND RECOVER FRAUDULENT TRANSFERS

Plaintiff Jane E. Sample, the Chapter 7 trustee (the "Trustee") of the bankruptcy estate of Example Debtor, LLC (the "Debtor"), files this Adversary Complaint against Defendants Example Transferee, LLC ("Transferee") and John Q. Example ("Example"), and alleges as follows.

NATURE OF THE ACTION

1. The Debtor transferred substantially all of its remaining equipment, receivables and cash to Transferee, an insider, in the year before the petition date, for less than reasonably equivalent value, while the Debtor was insolvent. The Trustee brings this action to avoid those transfers and to recover their value for the benefit of the estate and its creditors.
2. Example controlled both the Debtor and Transferee. He directed the transfers, signed the instruments on both sides, and received the proceeds personally. No consideration was paid to the Debtor for the transfers in any amount approaching their value.

PARTIES

3. Plaintiff Jane E. Sample is the duly appointed and acting Chapter 7 trustee of the bankruptcy estate of the Debtor in Case No. 1:26-bk-00000 (the "Main Case"), pending in this Court. She is authorized to bring this action under 11 U.S.C. §§ 544, 548 and 704.

4. The Debtor is a West Virginia limited liability company with its principal place of business in Ohio County, West Virginia. The Debtor filed a voluntary petition under chapter 7 of title 11 of the United States Code on March 2, 2026.

5. Defendant Transferee is a limited liability company organized under the laws of West Virginia, with its principal office in Ohio County, West Virginia. It may be served through its registered agent under Fed. R. Civ. P. 4(h), made applicable by Fed. R. Bankr. P. 7004.

6. Defendant John Q. Example is an individual who resides in Ohio County, West Virginia. He is the sole member of Transferee and was, at all times relevant to this complaint, the managing member of the Debtor. He is an insider of the Debtor within the meaning of 11 U.S.C. § 101(31).

JURISDICTION AND VENUE

7. This Court has jurisdiction over this adversary proceeding under 28 U.S.C. §§ 1334(b) and 157(a), and the General Order of the United States District Court for the Northern District of West Virginia referring bankruptcy cases to this Court.

8. This is a core proceeding under 28 U.S.C. § 157(b)(2)(H), and, as to the transfers received by Transferee, 28 U.S.C. § 157(b)(2)(F). The Trustee consents to the entry of final orders or judgment by the bankruptcy court.

9. Venue is proper in this District and Division under 28 U.S.C. § 1409(a), because this proceeding arises under title 11 and arises in and relates to the Main Case, which is pending in this District.

FACTS

The Debtor's Business and Its Decline

10. Beginning in 2019, the Debtor operated a commercial printing business from a leased facility in Ohio County. Its principal assets were printing equipment, customer receivables and a deposit account at a regional bank.

11. Beginning in 2023, the Debtor's revenues declined materially. By the end of 2025, its trade payables exceeded $1,200,000 and it was in default on a secured equipment loan held by a creditor not party to this action.

12. In late 2025, Example caused the Debtor to stop making payments to its unsecured trade creditors while continuing to pay himself and Transferee.

The Transfers

13. On January 18, 2026, the Debtor executed a Bill of Sale transferring to Transferee all printing equipment, with a stated purchase price of $85,000 (the "Equipment Transfer").

14. On January 21, 2026, the Debtor transferred to Transferee $112,400 from its deposit account, recorded as repayment of an alleged advance from Transferee (the "Cash Transfer").

15. On February 3, 2026, the Debtor assigned to Transferee its customer receivables then outstanding, with a face amount of approximately $216,000 (the "Receivables Transfer"). Transferee collected substantially all of those receivables within the following thirty days.

16. The Equipment Transfer, the Cash Transfer and the Receivables Transfer are collectively the "Transfers." The Transfers total more than $413,000 in value.

17. The purchase price for the equipment was far below its fair market value. An independent appraisal obtained by the Trustee values the equipment at approximately $240,000 as of January 2026.

18. The Debtor did not receive reasonably equivalent value for the Transfers. The alleged advance recorded in the Cash Transfer was not documented by any promissory note, and no advance from Transferee appears in the Debtor's books before January 2026.

19. The Debtor was insolvent on the date of each Transfer and was rendered insolvent by each of them. Its liabilities exceeded the fair value of its assets, and it was unable to pay its debts as they came due.

20. Example knew, or should have known, that the Debtor was insolvent and that the Transfers would leave the Debtor unable to pay its unsecured creditors.

21. The Transfers were made to an insider, within one year before the petition date, for the benefit of an insider, and while the Debtor was insolvent.

The Demand

22. On April 9, 2026, the Trustee wrote to Transferee and Example demanding the return of the Transfers. Neither Defendant returned any property or paid any amount in response.

COUNT I: AVOIDANCE OF FRAUDULENT TRANSFERS, 11 U.S.C. § 548(A)(1)(A) AND (B)

23. The Trustee incorporates paragraphs 1 through 22 as if fully restated here.

24. Each Transfer was made within two years before the petition date.

25. Each Transfer was made with actual intent to hinder, delay or defraud the Debtor's creditors, within the meaning of 11 U.S.C. § 548(a)(1)(A).

26. Independently, the Debtor received less than a reasonably equivalent value in exchange for each Transfer, and the Debtor was insolvent when it made each Transfer or became insolvent as a result of it, within the meaning of 11 U.S.C. § 548(a)(1)(B).

27. Each Transfer is therefore avoidable under 11 U.S.C. § 548(a)(1), and the Trustee may recover the property transferred, or its value, from Transferee and any immediate or mediate transferee under 11 U.S.C. § 550(a).

COUNT II: AVOIDANCE OF TRANSFERS UNDER APPLICABLE STATE LAW, 11 U.S.C. §§ 544(B) AND 550

28. The Trustee incorporates paragraphs 1 through 27 as if fully restated here.

29. Under 11 U.S.C. § 544(b), the Trustee may avoid any transfer of an interest of the Debtor in property that is avoidable under applicable law by an unsecured creditor holding an allowable claim.

30. At least one unsecured creditor of the Debtor held an allowable claim against the Debtor on the petition date and could have avoided the Transfers under the fraudulent transfer law of West Virginia, including as to transfers made without reasonably equivalent value by an insolvent debtor.

31. Each Transfer is therefore avoidable under 11 U.S.C. § 544(b), and the Trustee may recover the property transferred, or its value, from Transferee under 11 U.S.C. § 550(a).

COUNT III: DISALLOWANCE OF CLAIMS, 11 U.S.C. § 502(D)

32. The Trustee incorporates paragraphs 1 through 31 as if fully restated here.

33. Transferee is a transferee of avoidable transfers under 11 U.S.C. §§ 544 and 548, and has not paid the amounts for which it is liable.

34. Under 11 U.S.C. § 502(d), any claim held by Transferee against the estate must be disallowed unless and until Transferee pays the amount, or turns over the property, for which it is liable under 11 U.S.C. § 550.

PRAYER FOR RELIEF

WHEREFORE, the Trustee respectfully requests that the Court enter judgment:

(a) avoiding each of the Transfers under 11 U.S.C. §§ 544(b) and 548(a)(1);

(b) directing Transferee to return to the Trustee the property transferred, or its value as of the date of judgment, under 11 U.S.C. § 550(a), in an amount to be proven at trial but not less than $413,000;

(c) directing Example, to the extent he is a transferee of any Transfer, to return the same under 11 U.S.C. § 550(a);

(d) disallowing any claim held by Transferee or Example against the estate under 11 U.S.C. § 502(d), until the amounts for which each is liable are paid;

(e) awarding pre-judgment and post-judgment interest as allowed by law; and

(f) granting the Trustee such other and further relief as the Court deems just and proper.

Dated: October 14, 2026

Respectfully submitted,

s/ Sample Counsel
Counsel for Plaintiff
WVSB No. 00000